

Federal Constitution

NOTES

Art. 95

See Art. 80(2).

Art. 95A

1. Added by Act 10/1960, section 12, in force from 31-05-1960.

2. *See* Art. 95E(1), (2) & (5)(b).

Clause (1)

- a. The words “not exceeding ten” which appeared after the words “and such number” were deleted and the words “but, subject to Clause (5) of Article 95E, the number of representatives of the Federal Government shall not exceed ten” were added by Act 26/1963, section 70, in force from 16-09-1963.
- b. The words “Yang di-Pertua Negeri” substituted for the word “Governor” by Act A354, section 42, in force from 27-08-1976.

(3) The National Council for Local Government shall be summoned to meet by the Chairman as often as he considers necessary but there shall be at least one meeting in every year.

(4) If the Chairman or a representative of a State or of the Federal Government is unable to attend a meeting, the authority by whom he was appointed may appoint another person to take his place at that meeting.

(5) It shall be the duty of the National Council for Local Government to formulate from time to time in consultation with the Federal Government and the State Governments a national policy for the promotion, development and control of local government throughout the Federation and for the administration of any laws relating thereto; and the Federal and State Governments shall follow the policy so formulated.

(6) It shall also be the duty of the Federal Government and the Government of any State to consult the National Council for Local Government in respect of any proposed legislation dealing with local government, and it shall be the duty of the National Council for Local Government to advise those Governments on any such matter.

(7) The Federal Government or the Government of any State may consult the National Council for Local Government in respect of any other matter relating to local government, and it shall be the duty of the National Council for Local Government to advise that Government on any such matter.

Chapter 8—Application to States of Sabah and Sarawak

Modifications for States of Sabah and Sarawak of distribution of legislative powers

95B. (1) In the case of the States of Sabah and Sarawak—

- (a) the supplement to List II set out in the Ninth Schedule shall be deemed to form part of the State List, and the matters enumerated therein shall be deemed not to be included in the Federal List or Concurrent List; and

Federal Constitution

NOTES

Part VI

The heading of Chapter 8 “States of Sabah and Sarawak” substituted for the words “Borneo States” by Act A514, paragraph 19(1)(b), in force from 27-08-1976.

Art. 95b

1. Added by Act 26/1963, section 35, in force from 16-09-1963.

Clause 1

- a. Act 59/1966, section 2, in force from 09-08-1965, deleted the words “and Singapore” which appeared in the shoulder note and at the end of the first line and the word “appropriate” which appeared at the commencement of paragraphs (a) and (b) before the word “supplement”.
- b. The words “State of Sabah and Sarawak” substituted for the words “Borneo States” by Act A514, paragraph 19(1)(b), in force from 27-08-1976.

- (b) the supplement to List III set out in the Ninth Schedule shall, subject to the State List, be deemed to form part of the Concurrent List, and the matters enumerated therein shall be deemed not to be included in the Federal List (but not so as to affect the construction of the State List, where it refers to the Federal List).

(2) Where by virtue of Clause (1) an item is included in the Concurrent List for a State for a period only, the expiration or termination of that period shall not affect the continued operation of any State law passed by virtue of the item, save as provided by federal or State law.

(3) The Legislature of the State of Sabah or Sarawak may also make laws for imposing sales taxes, and any sales tax imposed by State law in the State of Sabah or Sarawak shall be deemed to be among the matters enumerated in the State List and not in the Federal List; but—

- (a) there shall not in the charging or administration of a State sales tax be any discrimination between goods of the same description according to the place in which they originate; and
- (b) the charge for any federal sales tax shall be met out of sums collected from a person liable for that tax before the charge for a State sales tax.

Power by order to extend legislative or executive powers of States

95c. (1) Subject to the provisions of any Act of Parliament passed after Malaysia Day, the Yang di-Pertuan Agong may by order make as respects any State any such provision as may be made by Act of Parliament—

- (a) for authorizing the Legislature of the State to make laws as mentioned in Article 76A; or
- (b) for extending the executive authority of the State, and the powers or duties of any authority of the State, as mentioned in Clause (4) of Article 80.

Federal Constitution

NOTES

Art. 95B—(cont.)

Clause (3)

The words “the State of Sabah or Sarawak” substituted for the words “a Borneo State” by Act A514, paragraph 19(1)(b), in force from 27-08-1976.

2. In the shoulder note, the words “States of Sabah and Sarawak” substituted for the words “Borneo States” by Act A514, paragraph 19(1)(b), in force from 27-08-1976.

Art. 95c

Added by Act 26/1963, section 38, in force from 16-09-1963.

Clause (1)

- a. The words “any State” substituted for the words “a Borneo State” by Act 31/1965, subsection 2(1), in force from 16-09-1963.
- b. *See—*
 - i. Borneo State (Legislative Powers) Order 1963—L.N. 17/1964;
 - ii. Borneo State (Executive Powers) (Shotguns) Order 1963—L.N. 38/1964;
 - iii. Sarawak (Legislative Powers) Order 1965—L.N. 22/1965; and
 - iv. Sarawak (Legislative Powers) (No. 2) Order 1965—L.N. 106/1965.

(2) An order made by virtue of paragraph (a) of Clause (1) shall not authorize the Legislature of a State to amend or repeal an Act of Parliament passed after Malaysia Day, unless the Act so provides.

(3) Clause (3) of Article 76A and Clause (6) of Article 80 shall apply in relation to an order under paragraph (a) and paragraph (b) respectively of Clause (1) of this Article as they apply in relation to an Act of Parliament.

(4) Where an order under this Article is revoked by a later order, the later order may include provision for continuing in force (generally or to such extent or for such purposes as the order may specify) any State law passed by virtue of the earlier order or any subsidiary legislation made or thing done under any such State law, and from the coming into operation of the later order any State law thereby continued in force shall have effect as federal law:

Provided that no provision shall be continued in force by virtue of this Clause if or in so far as it could not have been made by Act of Parliament.

(5) Any order of the Yang di-Pertuan Agong under this Article shall be laid before each House of Parliament.

Exclusion for States of Sabah and Sarawak of Parliament's power to pass uniform laws about land or local government

95D. In relation to the State of Sabah or Sarawak, Clause (4) of Article 76 shall not apply, nor shall paragraph (b) of Clause (1) of that Article enable Parliament to make laws with respect to any of the matters mentioned in Clause (4) of that Article.

Exclusion of States of Sabah and Sarawak from national plans for land utilization, local government, development, etc.

95E. (1) In relation to the State of Sabah or Sarawak, Articles 91, 92, 94 and 95A shall have effect subject to the following Clauses.

Federal Constitution

NOTES

Art. 95D

1. Added by Act 26/1963, section 42, in force from 16-09-1963.
2. The words “and in relation to Singapore” which appeared after the words “a Borneo State” were deleted by Act 59/1966, section 2, in force from 09-08-1965.
3. The words “the State of Sabah or Sarawak” substituted for the words “a Borneo State” by Act A514, paragraph 19(1)(b), in force from 27-08-1976.

Art. 95E

Added by Act 26/1963, section 43, in force from 16-09-1963.

Clause (1)

- a. The words “and in relation to Singapore” which appeared after the words “a Borneo State” and the words “and Singapore” in the shoulder note were deleted by Act 59/1966, section 2, in force from 09-08-1965.
- b. The words “the State of Sabah or Sarawak” substituted for the words “a Borneo State” by Act A514, paragraph 19(1)(b), in force from 27-08-1976.

(2) Subject to Clause (5), under Article 91 and under Article 95A the State Government shall not be required to follow the policy formulated by the National Land Council or by the National Council for Local Government, as the case may be, but the representative of the State shall not be entitled to vote on questions before the Council.

(3) Under Article 92 no area in the State shall be proclaimed a development area for the purposes of any development plan without the concurrence of the Yang di-Pertua Negeri.

(4) Under Clause (1) of Article 94 (under which in respect of matters in the State List the Federation may conduct research, give advice and technical assistance, etc.) the agricultural and forestry officers of the State of Sabah or Sarawak shall consider, but shall not be required to accept, professional advice given to the Government of the State.

(5) Clause (2) shall cease to apply to a State—

- (a) as regards Article 91, if Parliament so provides with the concurrence of the Yang di-Pertua Negeri; and
- (b) as regards Article 95A, if Parliament so provides with the concurrence of the Legislative Assembly,

but for each representative of the State of Sabah or Sarawak becoming entitled, by virtue of this Clause, to vote on questions before the National Land Council or National Council for Local Government, one shall be added to the maximum number of representatives of the Federal Government on that Council.

PART VII

FINANCIAL PROVISIONS

Chapter 1—General

No taxation unless authorized by law

96. No tax or rate shall be levied by or for the purposes of the Federation except by or under the authority of federal law.

Federal Constitution

NOTES

Art. 95E—(cont.)

Clause (3)

The words “Yang di-Pertua Negeri” substituted for the word “Governor” by Act A354, section 42, in force from 27-08-1976.

Clause (4)

The words “the State of Sabah or Sarawak” substituted for the words “a Borneo State” by Act A514, paragraph 19(1)(b), in force from 27-08-1976.

Clause (5)

- a. The words “or of Singapore” which appeared after the words “Borneo State” were deleted by Act 59/1966, section 2, in force from 19-08-1965.
- b. *See* Art. 91(1) & 95A(1).
- c. The words “Yang di-Pertua Negeri” substituted for the word “Governor” by Act A354, section 42, in force from 27-08-1976.
- d. The words “the State of Sabah or Sarawak” substituted for the words “a Borneo State” by Act A514, paragraph 19(1)(b), in force from 27-08-1976.

Consolidated Funds

97. (1) All revenues and moneys howsoever raised or received by the Federation shall, subject to the provisions of this Constitution and of federal law, be paid into and form one fund, to be known as the Federal Consolidated Fund.

(2) All revenues and moneys howsoever raised or received by a State shall, subject to Clause (3) and to any law, be paid into and form one fund, to be known as the Consolidated Fund of that State.

(3) If in accordance with State law or in respect of the Federal Territories of Kuala Lumpur, Labuan and Putrajaya, in accordance with federal law any Zakat, Fitrah, Baitulmal, or similar Islamic religious revenue is raised, it shall be paid into a separate fund and shall not be paid out except under the authority of State law or federal law, as the case may be.

(4) Unless the context otherwise requires, any reference in this Constitution to the Consolidated Fund shall be construed as a reference to the Federal Consolidated Fund.

Expenditure charged on Federal Consolidated Fund

98. (1) There shall be charged on the Consolidated Fund, in addition to any grant, remuneration or other moneys so charged by any other Article or federal law—

- (a) all pensions, compensation for loss of office and gratuities for which the Federation is liable;
- (b) all debt charges for which the Federation is liable; and
- (c) any moneys required to satisfy any judgment, decision or award against the Federation by any court or tribunal.

(2) In making payment of any grant to a State in accordance with the provisions of this Part, the Federation may deduct the amount of any debt charges payable to the Federation by the State and charged on the Consolidated Fund of that State.

(3) For the purposes of this Article debt charges include interest, sinking fund charges, the repayment or amortisation of